Topic 12 — Ancient Indian Economy

Covers syllabus (click to expand)

Economy · Ancient Indian Coins · Gold Coins in India · Trade · Trade Organisations · Guilds (Shreni) · Ports · Inland Trade · Maritime Trade · Roman Trade Taught in time-order: no coins in IVC → Vedic nishka → punch-marked silver → portrait gold → Gupta dinara.

Sources baked in: punch-marks, Periplus, Arthashastra, UPPCS Prelims 2018–2025 **Weight:** ★★★ — 2024 river-ports, 2022 silver 33 grains, 2018 Manigrama, 2022 boats **Last verified:** August 2026 **Current Affairs:** N/A — static

Books and Writers — Economy Sources

Book–writer pairs | trade handbooks and statecraft

Book / text	Writer / authority	What it is for
Periplus of the Erythraean Sea	**Anonymous** Greek merchant	1st c. CE sailing handbook; Barygaza / Muziris
Natural History (gold-drain note)	**Pliny**	Roman gold flowing to India
Arthashastra	**Kautilya** (कौटिल्य)	Guild custom, revenue, Mauryan economy

- The *Periplus* has **no named author**.
- Pliny complains of Roman gold drain; he is not an Indian court writer.

12.1 Economy

Agriculture, craft, and trade | the economic type changes by age

Each age has a different economy label. Hold the match spine first, then the period facts.

Match spine

- The Indus Valley economy is keyed as **urban**.
- The Rigvedic economy is keyed as **pastoral**.
- The Later Vedic economy is keyed as **agrarian**.
- The medieval slot in the 2020 match list is **landlordism**.

Period by period

- The Indus economy is **urban** craft and trade. It uses cubical **weights** and **seals**. It has **no coins**.
- The Rigvedic economy is **pastoral**. Wealth sits in cattle. The **nishka** is a gold piece or ornament. It is not a minted coin.
- The Later Vedic economy is **agrarian**. **Bali** and **bhaga** appear as dues.
- Punch-marked coins appear in the **mahajanapada** (महाजनपद) age, after the Vedic phase.
- From about the **sixth century BCE**, towns, **NBPW**, and **punch-marked silver** appear with long-distance trade.
- The Mauryan state taxes trade. The weights officer is the ***pautavadhyaksha***.
- The Gupta age shows land grants, guilds, and gold prestige. Daily markets still use silver and copper.

PYQ — UPPCS Prelims 2020, Q21

Match List-I with List-II:

A. Indus Valley Civilization B. Later Vedic Society C. Rigvedic Society D. Medieval Period 1. Pastoral 2. Land Lordism 3. Agrarian 4. Urban

A. 4 2 3 1 B. 2 1 4 3 C. 3 4 1 2 D. 4 3 1 2

Show answer

Ans: D. IVC = Urban, Later Vedic = Agrarian, Rigvedic = Pastoral, Medieval = Landlordism.

> **Logic:** First Indian coins are **punch-marked silver**. Gupta gold comes later.

12.2 Ancient Indian Coins

Punch-marked first | portrait later | copper/lead for small change

- The earliest Indian coins are **punch-marked silver**, from about the sixth to fifth century BCE. Mahajanapadas issue them. Magadha types then spread with the empire. The unit is the **karshapana** or **pana** (पण). The mark is a weight-stamp, not a portrait.
- The Mauryas keep punch-marks and also issue **cast copper**.
- The **Indo-Greeks** bring **die-struck portraits**. Their legends use Greek and Kharoshthi.
- Satavahanas often strike **lead** or **potin**. **Yajna Sri Satakarni** puts a **ship** on some coins as a Deccan sea-trade stamp.
- The Western Kshatrapas strike silver. **Chandragupta II** (चंद्रगुप्त द्वितीय) later copies that silver habit.
- Coins name kings and gods. **Inscriptions** remain the main administrative record.

> **Logic:** First coins ≠ gold. First coins ≠ IVC.

12.3 Gold Coins in India

Kushan gold is the flood | Gupta gold is the art | 2022 Shaka proof is silver

- IVC and Vedic India have **no** gold mint. Indo-Greeks issue some gold in the northwest. **Vima Kadphises** and the **Kushans** make gold **common**. The Kushan imperial title is *Shaonanoshao*.
- The Gupta **dinara** is prestige gold. The name comes from the Roman *denarius* through Kushan use.
- The king-queen type shows **Chandragupta I** with **Kumaradevi**. Horse, lyrist, and battle-axe types belong to **Samudragupta** (समुद्रगुप्त). Archer, chhatra, and lion-slayer types belong to **Chandragupta II**. Peacock and lion types belong to **Kumaragupta I**.
- Gupta **gold** often weighs about **120–144 grains**. Gupta **silver** (*rupaka*) is about **33 grains**.
- Roman **aurei** in south Indian hoards are pepper-trade bullion. **Pliny** calls that a gold drain. After the Guptas, imperial gold thins.

2022 fact - The strongest Shaka-victory proof in that paper is Chandragupta II's **silver** coins. - The weight is about **33 grains**. - The gold dinara is the trap.

PYQ — UPPCS Prelims 2022, Q23

With reference to Chandragupta-II, which of the following statements is/are correct?

1. The strongest evidence in the context of Shaka Victory is the silver coins of this king.
2. The weight of these coins used to be about 33 grains.

A. Neither 1 nor 2 B. Both 1 and 2 C. Only 2 D. Only 1

Show answer

Ans: B. Chandragupta II's Shaka proof = **silver** coins, ~33 grains.

> **Logic:** 2022 does **not** key gold as the Shaka proof.

12.4 Trade

Early trade = rivers + warehouses | 2024 Q2 home

- Texts and archaeology both show **river-ports**.
- Big towns store and pass goods. That is an **entrepot**.
- Both statements in 2024 are true.

PYQ — UPPCS Prelims 2024, Q2

Consider the following statements with reference to early trade:

1. There are references of numerous river-ports in ancient India.
2. There were large entrepots of goods and traffic.

A. Both 1 and 2 B. Neither 1 nor 2 C. Only 1 D. Only 2

Show answer

Ans: A.

> **Logic:** Entrepot ≠ a second word for “any port.” It is the **redistribution** hub.

12.5 Trade Organisations / Guilds (Shreni)

Shreni = default guild | Manigrama = the 2018 foreign-trade fact

- A **shreni** is a craft or trade guild with its own rules. Its head is the **shreshthin**. A **nagaram** is a south Indian **town** merchant body.
- The **nanadesi** are merchants of **many regions** on long-distance routes. **Manigrama** is the **foreign and overseas** trade body. **Manigrama** is the foreign-trade guild. Nanadesi looks “foreign,” but the paper still wants Manigrama.
- The **Ainnurruvar** are a later “500” south merchant network. They are not Mauryan.
- The *Arthashastra* treats guild custom as usable law. Sanchi and Bharhut gifts name shrenis. Shreni is **not** “only foreign trade.”
- Shreni quality, price, and member conduct are guild-controlled. The system is **not** “only northern India” — it is known in the south as well.

PYQ — UPPCS Prelims 2018, Q89

Which of the following institutions belonged to foreign trade?

A. Śreni B. Nagaram C. Nānādesis D. Manigrama

Show answer

Ans: D.

> **Logic:** Nanadesi looks “foreign.” The paper still wants **Manigrama**.

12.6 Ports

Match port ↔ sea ↔ age

- **Lothal** on the Gulf of Khambhat is the Harappan **dockyard**. **Sutkagen-dor** on the Makran is the Harappan west end. Boat **models** come from **Mohenjo-daro and Lothal**. Dholavira is not that pair.
- **Bharukaccha / Broach** at the Narmada mouth is Periplus **Barygaza**. **Sopara** and **Kalyan** on the Konkan run from Mauryan times onward. **Barbarikon** is the Indus-mouth Periplus port. It is **not** Broach.
- **Tamralipti** at the Ganga mouth faces the Bay of Bengal.

- **Muziris (Muchiri)** on the Malabar is the Roman **pepper** port. **Nelcynda** in Kerala is another Periplus pepper landing. **Tondi** and **Mushiri** sit on the western *Periplus* list with them. **Puhar / Kaveripattinam** at the Kaveri mouth is the Sangam Chola port. **Arikamedu** near Puducherry yields Roman amphorae and was called **Poduke** in the *Periplus*.
- Sanskrit ***Yavanapriya*** means **pepper** — the favourite spice of the Yavanas / Greeks and Romans. An **amphora** is the tall double-handled Roman jar for wine or oil.
- **Uraiyur** on the Kaveri was a Sangam Chola capital and a major **cotton** centre.
- **Tagara** was a significant inland trade centre on the route connecting **Kalyan** with **Vengi**.

PYQ — UPPCS Prelims 2022, Q68

From which archaeological site of the Indus Valley Civilization are figures or models of boats found?

A. Dholavira and Bhagatrav B. Harappa and Kot Diji C. Mohenjo-daro and Lothal D. Kalibangan and Ropar

Show answer

Ans: C. Boat models = **Mohenjo-daro and Lothal**. Dockyard = Lothal.

> **Logic:** Lothal = dock. Muziris = Rome. Tamralipti = east.

12.7 Inland Trade

Rivers first | two highways

- The **Uttarapatha** runs from Taxila through Mathura or Kaushambi to **Pataliputra** and Bengal. The **Dakshinapatha** runs from the Ganga belt through **Ujjain** into the Deccan. Dakshinapatha is a **road**, not “only sea.”
- River-ports sit on the Ganga, Yamuna, Narmada, and Godavari. Entrepots include Pataliputra, Ujjain, Varanasi, and Taxila. Kannauj is a later entrepot.
- Tolls sit at ferries and gates. Caravans run through shrenis. River ports and entrepots are the high-yield trade pair. Detail of goods is colour.

> **Logic:** Dakshinapatha is a **road**, not “only sea.”

12.8 Maritime Trade

Monsoon sailing | west and east circuits

- Harappan sea traffic runs from Lothal and the Makran toward the Gulf. Later west landings include Broach, Sopara, and Muziris. Later east traffic runs from Tamralipti toward Southeast Asia.
- Sailors use **monsoon** reversal. The Periplus knows that wind.

- **Pepper** is the famous west-coast export. Cotton, ivory, pearls, and gems also leave Indian ports. **Horses** are a famous import. Wine, gold, and glass also arrive from the west.
- Yajna Sri's **ship** coin is a Deccan sea-trade stamp. East-coast Tamralipti is **not** the main Roman door.

> **Logic:** East-coast Tamralipti is **not** the main Roman door.

12.9 Roman Trade

~1st–3rd c. CE | Periplus | pepper for gold

- The source is the ***Periplus of the Erythraean Sea***, about the first century CE. The route is the Red Sea, then the monsoon, then **Muziris** and **Barygaza**.
- **Pliny** complains of a **gold drain** to India. Hoards of Roman gold and silver sit in Kerala, Tamil country, and Karnataka. **Arikamedu** yields amphorae and Arretine ware.
- Sangam poems call the foreigners **Yavana**. In Sangam that is the foreign / western trader, not only an "Ionian Greek."
- The peak sits with the early Roman empire. Trade thins after the third-century crisis.

> **Logic:** Yavana in Sangam ≠ only "Ionian Greek." It is the foreign / western trader.

12.10 Punch-Marked Coins — Symbols and Janapadas

Fact	Detail
Metal / name	Silver **karshapana** with several punch symbols
Issuers	First **mahajanapadas**, then Magadha–Maurya
Small change	Mauryan **cast copper** *kakani*
Style	Geometric / animal punches — **no royal portrait**
Portraits	Begin with **Indo-Greek** (इंडो-ग्रीक) die-struck coins

Common punch symbols: **sun**, **six-armed symbol**, **hill**, **elephant**, **bull**, **tree-in-railing**.

12.11 Gupta Copper and Post-Gupta Coinage

Gold for prestige | copper for markets | silver for the Shaka proof

- Gupta markets still use **copper** for everyday exchange even while gold **dinara** advertises imperial prestige.
- Chandragupta II's western **silver rupaka** (about **33 grains**) is the Shaka-victory proof, not the gold dinara.

- After **Skandagupta**, fine imperial gold types thin and regional mints multiply.
- Post-Gupta north and Deccan houses keep local copper and silver issues; Roman **aurei** in south Indian hoards remain pepper-trade bullion, not Gupta mintage.

12.12 Land Revenue and Grants

Share tax first | land grants thicken later | vishti is labour

- Vedic dues begin as **bali** (tribute) and **bhaga** (the king's share of produce).
- Mauryan statecraft keeps **bhaga** (often about one-sixth in the *Arthashastra*); the **Samaharta** collects and the **Sannidhata** (सन्निधाता) stores.
- Forced labour appears as **vishti** (विष्टि -) in early historic revenue language.
- Gupta copper-plate grants create **brahmadeya** and **agrahara** holdings; feudatory **samanta** (सामंत) tribute sits beside the old share tax.
- Under Harsha, agrahara grants continue and the moving royal camp is remembered as **skandhavara**.
- Land-grant thickening is the bridge from Mauryan salaried collection toward post-Gupta feudal land control.

12.13 Southeast Asian Maritime Trade

East from Tamralipti | Suvarnabhumi | not the Roman west door

- The east-bound route runs from the Ganga-mouth port **Tamralipti** toward **Suvarnabhumi** (mainland Southeast Asia in coaching maps).
- Goods on this circuit include textiles, beads, and metalwork memory; the cultural echo is Buddhist and Brahmanical contact across the Bay of Bengal.
- This eastern door is distinct from the **Roman** west-coast circuit centred on **Muziris** and **Barygaza**.
- Do not treat Tamralipti as the main Roman pepper port — that key remains Malabar and Broach.

UP Focus

Fact	Place
Varanasi	Inland textile / Ganga river-port
Kaushambi	Uttarapatha Ganga node
Kannauj	Later entrepot (Harsha age)
Alamgirpur	IVC east end. **Not** a sea-port
Lothal / Muziris	**Not** UP